

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE 09 MONTHS PERIOD ENDED DECEMBER 31, 2023

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31 DECEMBER 2023
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 31 December	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	3,835,733	2,691,511	3,835,733	2,691,511
Cost of sales	(2,992,353)	(1,936,246)	(2,992,353)	(1,936,246)
Gross profit	843,381	755,265	843,381	755,265
Other income	11,462	16,791	11,462	16,791
Distribution expenses	(185,407)	(166,030)	(185,407)	(166,030)
Administrative expenses	(132,984)	(94,990)	(132,984)	(94,990)
Profit from operations	536,452	511,036	536,452	511,036
Finance income	139,555	121,528	139,555	121,528
Finance expenses	(4,230)	(5,911)	(4,230)	(5,911)
Net finance income	135,325	115,617	135,325	115,617
Share of (loss)/profit on equity accounted investee, net of tax	(20)	(629)	-	-
Profit before tax	671,757	626,023	671,777	626,653
Income tax expense	(198,264)	(187,996)	(198,264)	(187,996)
Profit for the quarter	473,492	438,028	473,513	438,657
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income , net of tax	-	-	-	-
Total comprehensive income for the quarter	473,492	438,028	473,513	438,657
Earnings per share -Rs.	21.72	20.09	21.72	20.12
Market value per share				
Highest price-Rs.			289.00	436.00
Lowest price-Rs.			243.00	235.00
Last traded price-Rs.			244.00	259.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the 09 months period ended 31 December	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	10,286,877	8,729,998	10,286,877	8,729,998
Cost of sales	(7,888,473)	(5,982,959)	(7,888,473)	(5,982,959)
Gross profit	2,398,404	2,747,040	2,398,404	2,747,040
Other income	50,550	35,918	50,550	35,918
Distribution expenses	(497,565)	(448,919)	(497,565)	(448,919)
Administrative expenses	(360,402)	(292,124)	(360,402)	(292,124)
Profit from operations	1,590,987	2,041,915	1,590,987	2,041,915
Finance income	403,374	657,649	403,374	657,649
Finance expenses	(50,769)	(24,983)	(50,769)	(24,983)
Net finance income	352,606	632,667	352,606	632,667
Share of loss on equity accounted investee, net of tax	(2,163)	(1,829)	-	-
Profit before tax	1,941,430	2,672,752	1,943,593	2,674,582
Income tax expense	(560,064)	(556,623)	(560,064)	(556,623)
Profit for the period	1,381,366	2,116,129	1,383,529	2,117,959
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	1,381,366	2,116,129	1,383,529	2,117,959
Earnings per share -Rs.	63.37	97.07	63.46	97.15
Market value per share				
Highest price-Rs.			358.00	458.00
Lowest price-Rs.			231.00	98.10
Last traded price-Rs.			244.00	259.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 31 December	As at 31 March	As at 31 December	As at 31 March
	2023 Rs.000	2023 Rs.000	2023 Rs.000	2023 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,147,937	1,158,261	1,147,937	1,158,261
Investment property	722,000	722,000	722,000	722,000
Right-of-use assets	1,563	2,232	1,563	2,232
Investment in equity accounted investee	69,330	71,493	51,200	51,200
	1,940,830	1,953,987	1,922,700	1,933,694
CURRENT ASSETS				
Inventories	2,252,959	2,806,149	2,252,959	2,806,149
Trade and other receivables	1,535,986	1,059,523	1,535,986	1,059,523
Amount due from related companies	299,446	719,570	299,446	719,570
Investment valued at fair value through - profit or loss	307,002	-	307,002	-
Value added tax recoverable	736,375	782,114	736,375	782,114
Deposits and prepayments	21,494	22,657	21,494	22,657
Investment in fixed deposits	4,032,018	2,877,942	4,032,018	2,877,942
Cash and cash equivalents	1,500,385	1,350,437	1,500,385	1,350,437
	10,685,665	9,618,392	10,685,665	9,618,392
TOTAL ASSETS	12,626,495	11,572,379	12,608,364	11,552,086
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	567,803	567,803	497,932	497,932
General reserves	431,136	431,136	431,136	431,136
Retained earnings	9,357,418	8,117,753	9,409,159	8,167,330
	10,574,358	9,334,692	10,556,227	9,314,398
NON-CURRENT LIABILITIES				
Employee benefits	170,956	152,619	170,956	152,619
Deferred taxation	139,237	139,237	139,237	139,237
Interest bearing borrowings	39,110	83,994	39,110	83,994
	349,303	375,851	349,303	375,851
CURRENT LIABILITIES				
Trade and other payables	261,438	450,644	261,438	450,644
Amount due to related companies	449,283	314,558	449,283	314,558
Current tax payables	889,524	869,440	889,524	869,440
Unclaimed dividends	14,971	12,043	14,971	12,043
Interest bearing borrowings	83,826	155,651	83,826	155,651
Bank overdrafts	3,792	59,501	3,792	59,501
	1,702,834	1,861,837	1,702,834	1,861,837
TOTAL LIABILITIES	2,052,137	2,237,688	2,052,137	2,237,688
TOTAL EQUITY AND LIABILITIES	12,626,495	11,572,379	12,608,364	11,552,086
Net asset per share (Rs.)	485.06	428.20	484.23	427.27

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

Mahinda Saranapala
Managing Director

(Sgd.)

U. G. Madanayake
Chairman

February 12, 2024
Colombo

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31 DECEMBER 2023

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	592,491	431,136	5,479,027	6,720,654
Profit for the period				2,116,129	2,116,129
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,116,129	2,116,129
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 December 2022	218,000	592,491	431,136	7,453,456	8,695,083
Balance as at 1 April 2023	218,000	567,803	431,136	8,117,753	9,334,692
Profit for the period	-	-	-	1,381,366	1,381,366
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,381,366	1,381,366
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 December 2023	218,000	567,803	431,136	9,357,418	10,574,358

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	522,620	431,136	5,524,965	6,696,721
Profit for the period				2,117,959	2,117,959
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,117,959	2,117,959
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 December 2022	218,000	522,620	431,136	7,501,223	8,672,980
Balance as at 1 April 2023	218,000	497,932	431,136	8,167,330	9,314,398
Profit for the period	-	-	-	1,383,529	1,383,529
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,383,529	1,383,529
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 December 2023	218,000	497,932	431,136	9,409,159	10,556,227

STATEMENT OF CASH FLOWS

For the 09 months period ended 31 December	COMPANY & INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Cash flow from operating activities				
Profit before tax	1,941,430	2,672,752	1,943,593	2,674,582
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	2,163	1,829	-	-
Interest income	(392,134)	(301,253)	(392,134)	(301,253)
Interest expense	14,166	24,983	14,166	24,983
Depreciation of property, plant and equipment	68,085	76,846	68,085	76,846
Loss/(gain) on investment valued at fair value through-profit or loss	(11,241)	-	(11,241)	-
Amortization of right-of-use assets	670	670	670	670
Provision/(reversal) for impairment of trade & other receivables	-	-	-	-
Provision for obsolete and slow moving inventories	45,242	5,176	45,242	5,176
Unrealized exchange loss/(gain) on investment in fixed deposits	12,945	(350,329)	12,945	(350,329)
Loss/(profit) on disposal of property, plant and equipment	(5)	(12,946)	(5)	(12,946)
Inventory write off	1,341	-	1,341	-
Disposal of property, Plant and Equipment	399	-	399	-
Provision for employee benefits	24,134	21,940	24,134	21,940
Operating profit before working capital changes	1,707,194	2,139,668	1,707,194	2,139,668
Changes in working capital				
Decrease/(increase) in inventories	506,607	(350,412)	506,607	(350,412)
Decrease/(increase) in trade and other receivables	(476,463)	341,973	(476,463)	341,973
Decrease/(increase) in amount due from related companies	370,063	(81,384)	370,063	(81,384)
Decrease/(increase) in deposits and prepayments and value added tax recoverable	46,902	(33,461)	46,902	(33,461)
Decrease in trade and other payables	(189,206)	(2,673,097)	(189,206)	(2,673,097)
Increase/(decrease) in amount due to related parties	134,725	(147,748)	134,725	(147,748)
Cash generated from/(used in) operations	2,099,823	(804,460)	2,099,823	(804,460)
Gratuity paid	(5,798)	(5,094)	(5,798)	(5,094)
Current tax paid	(539,979)	(197,972)	(539,979)	(197,972)
Interest paid	(14,166)	(24,983)	(14,166)	(24,983)
Net cash generated from/(used in) operating activities	1,539,880	(1,032,508)	1,539,880	(1,032,508)
Cash flow from investing activities				
Short term loans given to related parties	-	(300,000)	-	(300,000)
Short term loans repaid by related parties	50,062	324,314	50,062	324,314
Proceeds from disposal of property, plant and equipment	18	12,946	18	12,946
Acquisition of property, plant and equipment	(58,172)	(60,049)	(58,172)	(60,049)
Acquisition of Intangible assets	-	-	-	-
Investment in Unit Trust	(295,761)	-	(295,761)	-
Investment in fixed deposits	(1,167,022)	(90,355)	(1,167,022)	(90,355)
Interest received	392,134	301,253	392,134	301,253
Net cash generated from/(used in) investing activities	(1,078,742)	188,108	(1,078,742)	188,108
Cash flow from financing activities				
Dividend paid	(138,771)	(137,810)	(138,771)	(137,810)
Lease payments	(731)	(602)	(731)	(602)
Loans obtained during the period	-	-	-	-
Loans repayments during the period	(115,979)	(118,136)	(115,979)	(118,136)
Net Cash used in financing activities	(255,481)	(256,548)	(255,481)	(256,548)
Net increase/(decrease) in cash and cash equivalents	205,657	(1,100,948)	205,657	(1,100,948)
Cash and cash equivalents at beginning of the period	1,290,936	2,501,869	1,290,936	2,501,869
Cash and cash equivalents at the end of the period	1,496,593	1,400,921	1,496,593	1,400,921

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31st March 2023 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 31 December 2023 on guarantees given to third parties amounted to Rs.152,846,225/-.
- Net finance income/(expense) includes the exchange gains/(losses) as follows,

	COMPANY/COMPANY AND INVESTE			
	Period ended 31st December		Quarter ended 31st December	
	2023	2022	2023	2022
	Rs.000	Rs.000	Rs.000	Rs.000
Exchange gain/(loss)	(39,487)	353,188	2,884	3,209

- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2023 amounting to Rs. 141.7 Mn. on July 28, 2023 which was paid on 29th August 2023.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 31 December 2023		As at 31 December 2022	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200	0.26%	56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000	0.28%	61,000	0.28%
Mr. Mahinda Saranapala	- Managing Director	-	-	-	-
Mrs. N. C. Madanayake	- Director	-	-	-	-
Dr. Bandula Perera	- Director	-	-	-	-
Mr. Deepal Sooriyaarachchi	- Director	-	-	-	-

- Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 31 December 2023	4,399,696	20.2%	2635
Float adjusted market capitalization (Rs.)	1,073,525,824		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

- 20 Largest Shareholders of the Company as at 31 December 2023 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 People's Leasing & Finance PLC/Mr. Iresh Sridas	120,859	0.55%
4 Thaha I. M.	103,500	0.47%
5 Bank of Ceylon-No2 A/C (BOC PTF)	94,418	0.43%
6 Employees Trust Fund Board	82,462	0.38%
7 Wijaya P. and Ramesh P.	81,497	0.37%
8 Ceylinco Shiram Capital Management Services	76,600	0.35%
9 Srikantha B. W. R	69,506	0.32%
10 People's Leasing & Finance PLC/K. L. Udayananda	62,845	0.29%
11 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
12 Madanayake H. A. S.	61,000	0.28%
13 Madanayake U. G.	56,200	0.26%
14 Vasudevan S. and Vasudevan S.	56,051	0.26%
15 DFCC Bank PLC A/C No. 02	45,000	0.21%
16 Leonard D.S.	41,203	0.19%
17 Mayakaduwege J. K.	40,959	0.19%
18 Kannangara N.L. and De Livera S.S.	40,000	0.18%
19 Mohideen M. M.	37,002	0.17%
20 Sumathipala U. W. J. P. A.	35,200	0.16%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mr. Mahinda Saranapala Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC